

S Y M P O S I U M

LOST BATTLES, TROJAN HORSES, OPEN GATES, AND WARS WON: HOW ENTREPRENEURIAL FIRMS CO-CREATE STRUCTURES TO EXPAND AND INFUSE THEIR SUSTAINABILITY MISSIONS IN THE ACQUISITION PROCESS

YOLANDA SARASON
THOMAS J. DEAN
Colorado State University

In the past decades we have witnessed an increase in the number of public firms acquiring sustainable entrepreneurial firms, raising important questions about the post-acquisition viability of these firms' social and environmental missions. Using a structuration theory lens that focuses on the processes of structural change and views agency and structure as a co-creation, we examine whether and how entrepreneurial companies in the natural and organic products sector have worked to expand and infuse their sustainability goals and practices around the acquisition process. We find support for a process wherein multiple parties engage in structural change to overcome market failures and adverse incentives. We observe how the dynamics of *lost battles*, *Trojan horses*, *open gates*, and *wars won* are yielding positive outcomes for these firms' sustainability goals. Early acquisitions in which entrepreneurial firms' sustainability missions deteriorated (*lost battles*) gave way to acquisitions in which such firms used innovative means to instill their values and practices into their acquirers (*Trojan horses*). Moreover, the acquiring firms increasingly embraced the sustainability orientations of their targets (*open gates*). Perhaps most important, the acquisition process led to fundamental shifts in institutional structures that drove behaviors and enabled these firms to achieve their goals (*wars won*).

"We are not in the natural food business; we are in the social change business. We just happened to take on food as our arena to demonstrate this higher form of capitalism. . . . If we can really effectively change capitalism, it will be by demonstrating that I can make more money than you can make by a conventional form of business, and if I can attract you to demonstrating values and virtues by doing that and if I can create enormous wealth out of doing that, then I can change capitalism, I can change Wall Street."

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Steve Demos, founder of WhiteWave, acquired by Dean Foods (Demos, 2008)

The increasing number of acquisitions of sustainable entrepreneurial companies in the natural and organic products industry raises important questions about whether the social and environmental missions of these firms remain viable post-acquisition (Austin & Leonard, 2008; Cohen & Muñoz, 2017; Gasparro, 2017; Hockerts & Wüstenhagen, 2010; Kernick Advisory Group, 2016; Lee & Jay, 2015). A popular interpretation of these sales is that the entrepreneurs are "selling out," and that their embedded practices that support social and environmental sustainability will deteriorate after the acquisition (Austin & Leonard, 2008; Edmondson, 2014; Park, 2008a, 2008b; Teather, 2006). This perspective is rooted not only in popular perceptions but also in economic and institutional macro-theories

that suggest that the institutional incentives of large corporations will extinguish the nonfinancial missions of firms (DiMaggio & Powell, 1983; Friedman, 2007).

Such conclusions belie the entrepreneurship literature's increasing emphasis on the agentic nature of entrepreneurs with respect to social and economic structures (Alvarez & Barney, 2007; Battilana, Leca, & Boxenbaum, 2009; Garud, Hardy, & Maguire, 2007; Pacheco, York, Dean, & Sarasvathy, 2010; Sarason, Dean, & Dillard, 2006; Sarasvathy, 2001). They also run counter to writings in the fields of social and environmental entrepreneurship that view the entrepreneurial resolution of market failures and imperfections as a key function, if not a defining characteristic, of sustainable entrepreneurship (Cohen & Winn, 2007; Dean & McMullen, 2007; Pacheco, York, et al., 2010; Pacheco, York, & Hargrave, 2014). Rather than assuming a *fait accompli* in which extant structures exert a deterministic constraint on sustainable entrepreneurship, this literature argues that market failures represent opportunities for mission-driven entrepreneurs to align their goals with financial incentives.

In this manuscript, we explore whether this optimistic contention holds true in the natural and organic product space. Specifically, we consider whether and how mission-driven entrepreneurs and their companies have acted to maintain or expand their sustainability goals and practices during and after acquisitions. We frame this as the following question: *How do mission-driven companies interface with institutional structures surrounding acquisitions such that they are better able to achieve their social and environmental goals within an embedded system that tends to privilege financial gain?* Reviewing multiple cases of the sale of mission-driven firms, we find substantive evidence of entrepreneurs taking actions that maintain and expand their companies' social and environmental missions at acquisition. Broadly, we refer to such actions as *selling in*. More specifically, we find an evolutionary process occurring that can be portrayed in terms of *lost battles* (the diminishment or loss of aspects of the sustainable mission), *Trojan horses* (infiltrating the acquiring firm with sustainable practices), *open gates* (acquired firms embracing the sustainable practices of their targets), and *wars won* (substantive and/or boundary-crossing structural change).

Our examination, part of an emerging stream of literature on the relationship between sustainability-oriented firms and incumbent firms (Austin & Leonard, 2008; Cohen & Muñoz, 2017; Hockerts & Wüstenhagen, 2010; Lee & Jay, 2015), illustrates how learning by entrepreneurs and acquirers enables the

development of new social and economic structures. Structural change, driven by social or environmental missions, occurs as a complex evolution in which multiple agents co-create structures over time, resulting in more substantive and cross-boundary outcomes than more deterministic or popular perspectives might assume. Our examination suggests that social and environmental theory should move from a static, single-agent view to a more dynamic, multiparty model of how the structure/agent duality evolves to resolve market barriers that would otherwise prevent sustainable firms from achieving their goals. It also proposes new thinking about how mission-driven firms prevent *lost battles* and infiltrate other firms and broader society with the goals and practices they hold dear.

After discussing the literature on sustainable entrepreneurship and associated acquisitions, we review the natural and organic sector and notable acquisitions therein. We then introduce structuration theory and apply cases to the framework of *lost battles*, *Trojan horses*, *open gates*, and *wars won*. We close by considering the implications of our research.

SUSTAINABLE ENTREPRENEURSHIP AND ACQUISITIONS

The entrepreneurship literature has recently begun to recognize that entrepreneurship has a role in the global transition to a more socially and environmentally sustainable economy (e.g., Cohen & Winn, 2007; Dean & McMullen, 2007; Hall, Daneke, & Lenox, 2010; Pacheco, York, et al., 2010). Embracing the language of sustainable development (Brundtland, 1987), conceptions of sustainable entrepreneurship focus on 1) entrepreneurial actions that enhance sustainable development through more sustainable products, services, or models (Pacheco, Dean, & Payne, 2010; Shepherd & Patzelt, 2011; York & Venkataraman, 2010); 2) entrepreneurial purposes or intentions that focus on environmental and social outcomes over, or in addition to, financial outcomes (Kuckertz & Wagner, 2010; Parrish & Foxon, 2006; Tiley & Young, 2009); and/or 3) actions to exploit sustainable opportunities that are present in market failures and imperfections (Dean & McMullen, 2007; Pacheco, Dean, & Payne, 2010).

We define sustainable entrepreneurship herein as the purposeful discovery, creation, and exploitation of opportunities to create future goods and services that are more socially or environmentally sustainable (Pacheco, York, et al., 2010; Parrish & Foxon, 2009; Shepherd & Patzelt, 2011). We distinguish sustainable entrepreneurship both by the intent of

the entrepreneur and/or company to enhance social or environmental sustainability and by the firm's actions to accomplish these goals (Kuckertz & Wagner, 2010; Parrish & Foxon, 2006; Shepherd & Patzelt, 2011; Tiley & Young, 2009; York & Venkataraman, 2010). We classify our sample firms as entrepreneurial because they have introduced innovative products or business practices with claimed or perceived social or environmental sustainability dimensions that are relatively unique to the broader food industry or traditional practices. Because most of these firms are no longer in the start-up stage or sufficiently small to be termed ventures, we refer to them as companies, firms, organizations, and/or targets in the acquisition process.

A central tenet of research on sustainable entrepreneurship is that economic structures often fail to motivate social or environmental business models, and that this failure creates a tension between economic incentives and the social and environmental goals of entrepreneurs. Although this tension often results in substantive environmental degradations and social ills, it also generates opportunities for solving these very problems, as when economic structures are altered to enable the simultaneous achievement of economic and sustainability goals (Dean & McMullen, 2007; Pacheco, Dean, et al., 2010). This inference places the need for structural change at the center of the process of sustainable entrepreneurship.

An ideal context for studying this dynamic is when a sustainable entrepreneurial firm sells to a large public company, because the tension between the firm's nonfinancial mission and its financial imperatives is likely to be greatest at this time. At the point of sale, the sustainable firm faces a dilemma: While its sale may create personal financial wealth and enable further market success, the acquiring firm may eliminate or diminish activities that were directed toward a broader societal impact. Corporations typically prioritize financial returns and often have incentives to minimize other considerations, so efforts to transcend purely financial goals may be at risk under the new ownership. Thus, these sales provide an opportunity to understand whether and how structural change might affect acquired firms' ability to accomplish their impact goals.

Moreover, three factors make the natural and organic products industry a fitting context for studying sustainable firms at acquisition. First, an increasing number of natural and organic products companies are being sold to large public companies, providing us with ample opportunity to understand the

dynamics involved (Gasparro, 2017; Kernick Advisory Group, 2016). Second, most of the firms in this space pursue missions that go beyond purely financial aims to encompass social and environmental goals. Third, the sales of such organizations tend to be highly public and negatively viewed, as accusations of the firms' having "sold out" are common (Austin & Leonard, 2008; Belli, 2007; Edmondson, 2014; Park, 2008a, 2008b; Pitman, 2006; Teather, 2006).

The existing literature on the acquisition of mission-driven companies by large public firms has explored entry strategies into conscious consumer markets, the role of large and small firms in the process of sustainable entrepreneurship, and the response of established companies to the entry of hybrid social ventures (Austin & Leonard, 2008; Cohen & Muñoz, 2017; Hockerts & Wüstenhagen, 2010; Lee & Jay, 2015). In a pioneering study, Austin and Leonard (2008) examined large companies' acquisitions of firms with social brands and addressed how the "wealthy elephant" can live with an acquired "virtuous mouse." Their research is particularly insightful about the challenges associated with such acquisitions and how the acquiring firm can successfully integrate the socially and environmentally conscious company. In another central study, Hockerts and Wüstenhagen (2010) examined the roles of incumbents and new entrants in the processes of sustainable entrepreneurship and concluded that interactions between "Davids" and "Goliaths" are the only way to move an industry toward sustainability. Most recently, Cohen and Muñoz (2017) examined the effectiveness of different strategies for entering socially and environmentally conscious consumer markets. Among other insights, the authors suggested that when the entering firm's values align only weakly with a niche market of conscious consumers, market entry is best achieved through acquisition. Finally, Lee and Jay (2015) examined how established companies respond to the entry of hybrid social ventures. Using case studies of fast-moving consumer goods companies, including many in the natural and organic products space, they showed that the most effective responses are based on the importance of sustainability initiatives to the established companies' customers or employees. The authors recommended acquisition and integration when the prospective buyer's current customers and employees both value sustainability initiatives; they recommended acquisition to create unintegrated niche brands when a segment of the prospective buyer's customers value

sustainability, but sustainability initiatives are not valued by most employees or would not be easily integrated throughout the firm.

While each of these studies speaks to our work and contributes to the literature, the current study is different in a number of ways. Relative to Austin and Leonard (2008) and Lee and Jay (2015), we focus more on the perspective and goal achievement of the acquired sustainable firm and less on the post-acquisition issues of the acquirer. Unlike Cohen and Muñoz (2017), we examine the processes of agency and structural change and not the prescriptive strategies of entry. We share Hockerts and Wüstenhagen's (2010) perspective that the transformation to sustainability in an industry involves a dynamic interaction between large and small firms yet seek a deeper understanding of the evolutionary processes that sustainable entrepreneurs pursue over time and across organizational boundaries to achieve their goals around the acquisition process.

THE NATURAL AND ORGANIC INDUSTRY AND ACQUISITIONS

The natural and organic products industry emerged in the 1970s, when advocates of alternative agriculture began to market natural and organic foods in response to increasing awareness of the consequences of using chemically treated, highly processed, and remotely grown agricultural products. Many of the first efforts were small in scale and marketed in niche outlets such as farmers markets and small, independent natural foods stores. As the industry progressed, some firms became more proficient at product development and production and began marketing their products to broader audiences. In addition, the passage of the 1990 U.S. Organic Foods Production Act provided market traction for many of these companies by creating a structure for certifying foods as organic. In addition, a number of non-food natural product firms, particularly in cosmetics and skin care, opened for business, touting healthy and animal-safe alternatives to traditional products.

Rooted in the social movements and counterculture of the 1960s and 1970s, many of these companies were motivated to create products and organizational cultures that would have a positive impact on society. Among their top goals were to expand the consumption of healthier agricultural products, diminish the harmful effects of modern agriculture, reduce animal cruelty, and generate

social change. Environmental issues were often at the forefront. Many of these companies believed that producing products with natural or organic components would enhance soil health and reduce the use of artificial fertilizers, synthetic pesticides, growth hormones, and antibiotics—leading, in time, to healthier living and more environmentally sustainable agriculture.

By the early 2000s, many of the companies marketing natural and organic products had substantial market presence, records of strong growth, high margins stemming from differentiated products, and well-regarded, authentic brands with widening appeal. Companies that had started as micro-entrants operating on the fringes of broader industries were now altering the competitive dynamics of those industries and motivating competitive reactions (Markman & Waldron, 2014). The incumbents' response, in many cases, was to acquire the natural and organic products firms. Over the past two decades, large public entities have engineered dozens of highly public, controversial acquisitions of these companies (Austin & Leonard, 2008; Cohen & Muñoz, 2017; Gasparro, 2017; Hockerts & Wüstenhagen, 2010; Kernick Advisory Group, 2016; Lee & Jay, 2015).

Among the first acquisitions were Ben & Jerry's ice cream by Unilever (2000), Odwalla by Coca-Cola (2001), Tom's of Maine by Colgate (2006), and the Body Shop by L'Oréal (2006)—all of which were widely criticized (Belli, 2007; Edmondson, 2014; Park, 2008a; Pitman, 2006; Teather, 2006). In the dairy and related products space, Danone purchased Stonyfield Farm (2004), and Dean Foods purchased WhiteWave Foods (2002) and Horizon Organic (2004). Subsequently, WhiteWave Foods was divested by Dean Foods, only to later be bought by Groupe Danone (2016). Other acquisitions included Burt's Bees by Clorox (2007), Honest Tea (2006) by Coca-Cola, Justin's Nut Butter by Hormel (2016), and Seventh Generation (2016) by Unilever. Most recently, Amazon acquired Whole Foods (2017), sparking widespread controversy about the fate of Whole Foods and its "whole people, whole planet" mission (Taylor, 2017).

To better understand the acquisition of mission-driven entrepreneurial firms in the natural and organic space, we first compiled a data set of natural and organic companies acquired by large public companies with revenues greater than \$250 million. We felt that, because of the demands of the financial markets, these public firms would be under the most pressure to prioritize shareholder return. Companies were selected as sustainable firms if a substantial

portion of their products were organic or fair trade or if the company's materials and media expressed an obvious commitment to social or environmental issues. Our full sample ($N=41$) and associated data were collected from Kernick Advisory Group's 2016 year-end report on the natural/organic and wellness industry (Kernick Advisory Group, 2016), augmented by the authors' own identification of companies and collection of data through a review of media reports of each acquisition. Table 1 shows a select group of these firms, including acquirers, deal values, and acquisition revenue multiples organized by year of acquisition. Table 2 shows aspects of some of these companies' current sustainability values and activities.

In all, we identified 41 acquisitions of socially or environmentally oriented natural or organic product firms from 2000 to 2016. Many of the 41 companies sold for substantial amounts, as indicated by the median deal value of \$225 million. In addition, a median revenue multiple of 2.6 suggests that the acquirers had substantial confidence in the growth prospects of their acquisitions. Finally, the number of deals rose substantially from 2011 to 2016 (Gasparro, 2017). Overall, the data indicate a trend in which large public food and consumer products companies seek a financial interest in fast-growing sustainable firms in the natural and organic products space.

A STRUCTURATION LENS ON THE SALE OF NATURAL AND ORGANIC FIRMS

We draw on a structuration theory lens to explore our research question of how sustainable entrepreneurs and firms interface with the institutional structures surrounding acquisitions such that they can better achieve their social and environmental goals. A structuration lens is ideal for investigating this question, as the creation or reproduction of social systems by the actions of individuals is central to structuration theory (Giddens, 1984). Moreover, drawing on this theory clarifies our ontological assumptions in viewing our phenomenon, which is key to advancing the field of entrepreneurship (Sarason & Conger, 2018).

Structuration theory articulates the relationship between agent (entrepreneur) and structure (opportunity) as a duality. A duality, as opposed to a dualism, presents two constructs that cannot be understood separately (Giddens, 1979, 1984). As a duality, agents are both *constrained* and *enabled* by the social system in which they are embedded. *Constraints* represent

the structural attributes that limit the choices and actions of individuals and organizations. At the same time, individuals and organizations are *enabled* in that they can change social systems through the structuration process. Structural change happens recursively as multiple agents engage in the structuration process. Moreover, because these agents are continuously reflexive about structural constraints, they steadily change the structures in which they are engaged—a process referred to within structuration theory as double hermeneutics (Giddens, 1984).

Within the domain of entrepreneurship, structuration theory has provided insight into the nature of opportunities (Chiasson & Saunders, 2005), structure-agent interdependence at the nexus of entrepreneurs and opportunity (Mole & Mole, 2010; Sarason, Dean, & Dillard, 2006; Sarason, Dillard, & Dean, 2010), and the exit of social ventures (Sarason, 2018). In the structuration view, entrepreneurship is seen not merely as the entrepreneurs' response to objective economic and social structures, but as a duality of agents and structures in which the two are co-created or "instantiated" in the moment (Sarason et al., 2006). Some of structuration theory's fundamental insights have been embraced by leading entrepreneurship scholars (Venkataraman, Sarasvathy, Dew, & Forster, 2012), who note that entrepreneurial processes have an evolutionary character wherein opportunities are simultaneously "made as well as found." Within the social entrepreneurship literature, structuration theory has also been offered as a promising lens to examine how context enables and constrains social entrepreneurship, and how social change occurs (Mair & Martí, 2006).

These insights have fundamental implications for research on sustainable entrepreneurship, as much of the field concerns the alteration of structural elements to resolve market failures and other market inadequacies that fail to serve either sustainable development or the public good (Dean & McMullen, 2007; Pacheco, Dean, et al., 2010; York & Venkataraman, 2010). Indeed, the dynamics of structural constraints and agency are central to the field, as structural change is key to the achievement of both financial and nonfinancial goals.

The structuration dynamic is likely to apply in sales of sustainable companies to large public corporations due to the tension between the social and environmental goals of sustainable firms and the implicit and explicit financial goals of public corporations. Through the lens of the structuration view, sustainable entrepreneurs are *enabled* by their

TABLE 1
Select Natural and Organic Firms Acquired by Large Public Companies by Year of Acquisition

Year of acquisition	Acquired firm	Acquired firm founding date	Acquirer	Deal value (millions)	Sales multiple	Founder(s) of acquired firm
2000	Ben & Jerry's	1978	Unilever	\$326	1.35	Ben Cohen, Jerry Greenfield
2001	Odwalla	1980	Coca-Cola	\$181	2.5	Greg Steltenpohl
2002, 2004, 2014*	Stonyfield Farm	1983	Danone	\$125 for 40% (2002)	2.8	Gary Hirschberg, Samuel Kaymen
2002	WhiteWave	1977	Dean Foods	\$295	2.36	Steve Demos
2004	Horizon Organic Dairy	1991	Dean Foods	\$216	0.7	Mark Retzloff, Paul Repetto
2005	Green and Black's	1991	Cadbury Schweppes	£20** for 95%***	0.94	Jo and Craig Sams
2006	Body Shop	1976	L'Oréal	\$1,400	3.2	Anita Roddick
2006	Dagoba Chocolate	2001	Hershey's	\$17	3.3	Frederick Schilling
2006	Izze Beverage	2002	Pepsico	\$75	3.4	Todd Woloson, Greg Stroh
2006	Tom's of Maine	1970	Colgate	\$100	2.7	Tom and Kate Chappell
2006	Honest Tea	1998	Coca-Cola	\$43 for 40%****	2.8	Seth Goldman
2007	Burt's Bees	1984	Clorox	\$1,205	1.1	Burt Shavitz, Roxanne Quimby
2009	Sprig Toys	2007	Wham-O	Zero cash transaction	NA	Justin Discoe, David Bowen, Chris Clemmer
2014	Annie's	1989	General Mills	\$820	3	Annie Withey, Andrew Martin
2015	Applegate Farms	1987	Hormel	\$775	2.3	Stephen McDonnell
2016	Bai Brands	2009	Dr. Pepper	\$1,700	1.8	Ben Weiss
2016	Justin's	2004	Hormel	\$286	1.5	Justin Gold
2016	Seventh Generation	1988	Unilever	\$700	1.8	Jeffrey Hollender
2016	WhiteWave	1977	Danone	\$12,500	2.98	Steve Demos
2017	Whole Foods	1980	Amazon	\$13,700	.85	John Mackey, Renee Lawson Hardy, Craig Weller, Mark Skiles
Averages				\$1,160	2.25	

Sources: Kernick Advisory Group 2016 industry report and various news articles.

Note. * 40% stake in 2002, 80% stake in 2004, 100% stake by 2014. ** Estimated figure. The sale amount was undisclosed (Bowers, 2005). ***Cadbury's acquired a 5% stake in Green and Black's three years prior (Bowers, 2005). ****Coca-Cola bought the remaining shares in 2011 for an undisclosed amount.

TABLE 2
Select Natural and Organic Firms' Sustainable Values and Practices as of 2018

Ben & Jerry's	The company has a social, product, and economic mission "that aims to create linked prosperity for everyone that's connected to our business: suppliers, employees, farmers, franchisees, customers, and neighbors alike." Ben & Jerry's states that its three-part mission guides its decision-making. The product mission is "to make, distribute and sell the finest quality ice cream and euphoric concoctions with a continued commitment to incorporating wholesome, natural ingredients and promoting business practices that respect the Earth and the Environment." Their economic mission is "to operate the Company on a sustainable financial basis of profitable growth, increasing value for our stakeholders and expanding opportunities for development and career growth for our employees." Its social mission is "to operate the company in a way that actively recognizes the central role that business plays in society by initiating innovative ways to improve the quality of life locally, nationally and internationally." Ben & Jerry's became the first-ever wholly owned subsidiary to gain B Corp certification and has a philanthropic foundation.
Stonyfield Farm	Recognized as "organic mavericks" three decades ago, Stonyfield was dedicated to the idea that "healthy food means healthier people, healthier business, and a healthier planet." Stonyfield's products are made without pesticides, artificial hormones, antibiotics, or GMOs. Stonyfield offsets its yogurt works' emissions, makes yogurt cups from plants, and is running off renewable energy. On its 35th anniversary, the company dedicated itself to "bring[ing] greater awareness about possible exposure to pesticides in children's outdoor playing fields and community spaces. . . . It starts with food, but we believe all children should play free as well—free from worry, free from harmful chemicals, and free from toxic persistent pesticides." Furthermore, Stonyfield drives the "Make Earth Cool Again" campaign "to educate and empower consumers and voters on the need to support political candidates who will stand up for the environment and our children's futures." Stonyfield is certified as a B Corp.
WhiteWave	WhiteWave looks to its values "to find the best path forward and guide how we will drive this change." Its values are "a collection of simple but deeply held beliefs that were created by our employees and define who we are and what is most important to us." WhiteWave's values include producing food responsibly (by reducing waste, water usage, and greenhouse gases companywide and responsibly sourcing ingredients, packaging, and labeling products and growing and manufacturing food to improve nutrition), sharing what they do well (by financially supporting hunger relief and sustainability efforts), looking after individuals (by supporting and guiding individual careers and nurturing a positive culture), having passion to lead (by recognizing that everyone has the ability and responsibility to create a new food company that is shaping the future and achieve outstanding performance), having the courage to learn and grow (maintaining healthy ambition to work, being nimble and adaptive, and learning from successes and mistakes), and allowing informality to enjoy their work together.
Horizon Organic	Recognized as pioneers of the organic dairy movement, Horizon Organic became the first company to supply organic milk throughout the United States. Organic family farms are at the core of the company, and Horizon requires the 700 certified organic farms that supply its milk to adhere to a strict standard of care. Horizon works to "make a difference for families, for farming communities and for the environment" and partners with many organizations that share the same values. Horizon also awards an annual Horizon Organic Producer Education (HOPE) prize to an outstanding family farm. Furthermore, HOPE scholarships help students pursue careers in organic agriculture.
Dagoba	Dagoba strives to create chocolate "that not only tastes good, but also does good." Dagoba's four values are sourcing with care, protecting against food allergies, empowering women, and preserving the company's socially responsible legacy. Sourcing with care includes using only USDA certified organic, non-GMO verified, and Rainforest Alliance certified ingredients. In empowering women, Dagoba focuses on "advancing the role of women in cocoa production and entrepreneurship in regions where cacao for Dagoba Organic Chocolate is grown." The legacy is preserved through continuing to produce chocolate at the original single-line factory in Oregon, supporting the community, and expanding the firm's socially responsible work through a project called Once and For All Cacao.
Tom's of Maine	Tom's of Maine's mission is "to help others live a more natural life." The company enacts this mission by being transparent about the ingredients in its products, donating 10% of the profits, encouraging employees to use 5% of their paid time volunteering for an organization of their choice, and implementing sustainable practices. Every ingredient goes through the firm's stewardship review process, which includes standards for balancing natural, sustainable, and responsible. The company publishes its sustainability progress in an annual Goodness Report and continuously works to maximize recycled content and recyclability of packaging.
Burt's Bees	Burt's Bees claims to be "a bunch of hands-on, tree-hugging, greased elbow do-gooders." The firm believes in a triple bottom line (people, profit, planet) and strives to look after everyone, including employees, customers, families, and the environment. Employees are encouraged to take time off to "go do something good for the world," they have an annual Culture Day to promote community outreach during which they plant urban gardens and build hive boxes, and they strive to maintain environmentally friendly practices within the company and with their partners. In 2016, Burt's Bees introduced Burt's Bees Natural Launchpad (NLP), an annual grant and mentoring program to recognize up-and-coming entrepreneurs who have a passion for improving the health and well-being of our planet and everyone on it.

TABLE 2
(Continued)

Honest Tea	Honest Tea's mission is "to create and promote great-tasting, healthy, organic beverages." The company strives "to grow our business with the same honesty and integrity we use to craft our recipes, with sustainability and great taste for all." Honest Tea's pillars of sustainability are promoting health and wellness, reducing its environmental footprint, creating economic opportunity, maintaining transparency, and building communi-tea. Honest Tea is Fair Trade certified; between 2003 and 2016 it paid back more than \$1 million in premiums to its tea and sugar sourcing communities. Some of its products are also USDA Organic certified, and it is transparent about sourcing. Through a partnership with 1% For the Planet, Honest Tea donates 1% of sales.
Seventh Generation	Seventh Generation's mission is "to inspire a consumer revolution that nurtures the health of the next seven generations." Its course for a more mindful way of doing business is to care wholeheartedly, collaborate deliberately, nurture nature, innovate disruptively, and be a trusted brand. To meet its goal of nurturing nature, Seventh Generation set four ambitious 2020 goals: obtain all energy from non-fossil sources, produce all products and packaging from bio-based or recycled material, produce zero waste, and source all ingredients from certified sustainable suppliers.

Note. Content in this table retrieved from the following web sites: Ben & Jerry's (<https://www.benjerry.com/values>), Burt's Bees (<https://www.burtsbees.com/content/our-purpose/our-purpose-1asset.html>), Dagoba (https://www.dagobachocolate.com/en_us/values.html), Honest Tea (<https://www.honesttea.com/our-mission/>), Horizon (<https://horizon.com/about-us/our-commitment/>), Seventh Generation (<https://www.seventhgeneration.com/insideSVG/mission>), Stonyfield Farm (<https://www.stonyfield.com/organic/101>), Tom's of Maine (<https://www.tomsomaine.com/content/dam/cp-sites/toms/toms-of-maine/global/documents/toms-2017-goodness-report.pdf>), WhiteWave (<https://www.whitewave.com/why>).

unique goals and existing structures but *constrained* by a financial system that rewards profit over other goals. Similarly, the acquiring companies are *enabled* by their financial and organizational resources but *constrained* by traditional structures that prevent them from adopting new practices.

We propose that this tension will lead to substantial constraints on sustainable entrepreneurial firms that are sold to large public companies and expect that the impact of such constraints will initially be counter to the achievement of the entrepreneurial firms' sustainability goals. On the other hand, given the theory's emphasis on the agentic character of entrepreneurs and the duality of structure and agency, we expect substantive change in the nature of structures—change that may eventually aid in the achievement of their sustainability goals. In addition, we expect that such change will happen to a greater extent over time and across multiple parties, as more sustainable companies interface with extant structures and cumulatively alter those structures to enable their goals.

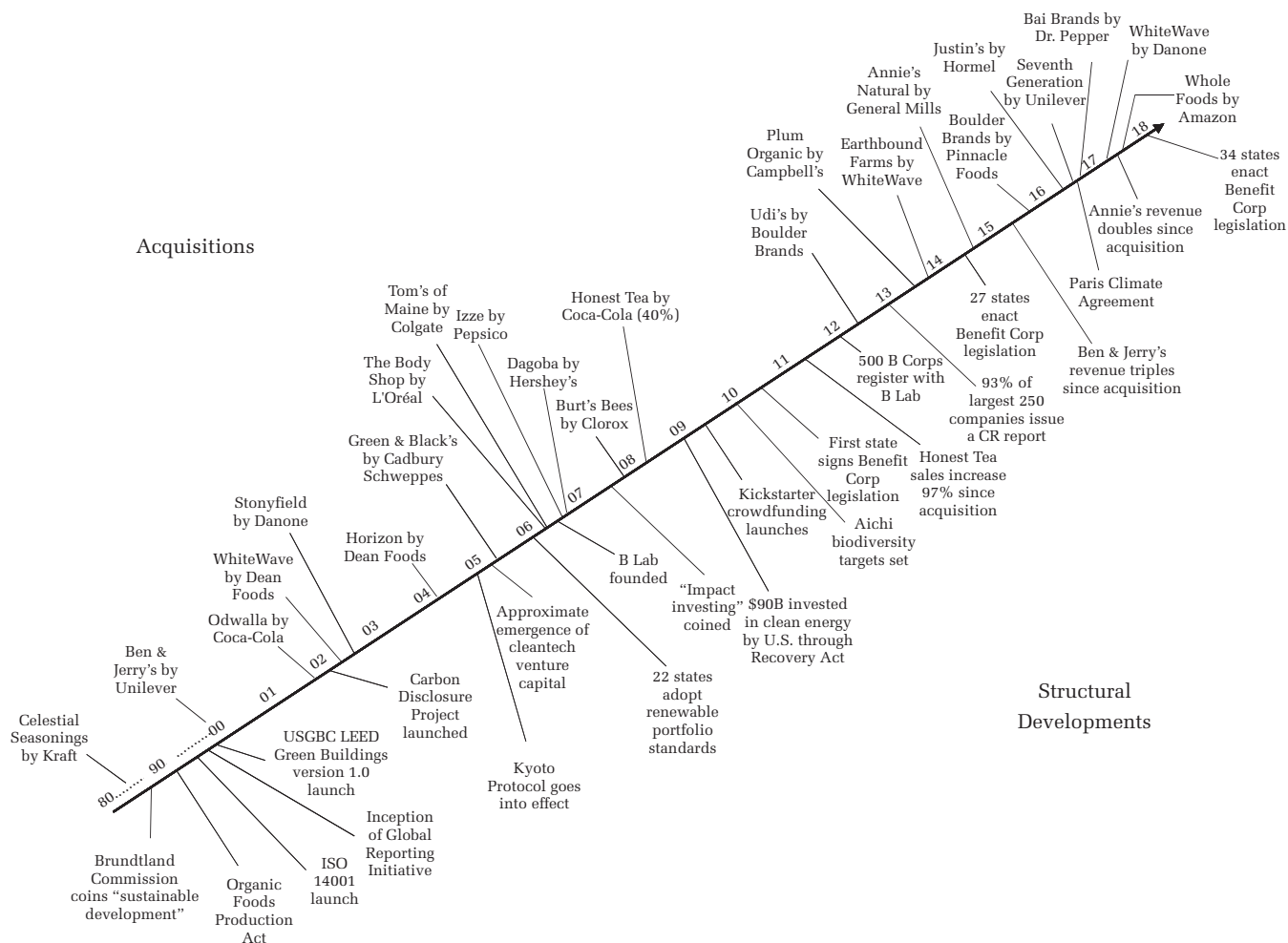
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To explore the validity of the above propositions, we chose a subset of the firms that had been sold to large public companies. We based our choices on the firms' commitment to social and environmental goals, the prominence of their sales, and the

availability of information about them. We reviewed various sources, including 1) interviews with founders of the companies, 2) interviews with key participants in the combined organization subsequent to the sales, 3) books about the sales, 4) case studies of the organizations, 5) prior academic studies on the topic, 6) reports in the popular press, and 7) excerpts from a recorded conference called *Selling Without Selling Out*, held in 2008 at the Aspen Institute (Mollner, 2008). Our examination revealed a pattern in the sales, as well as evolution in the degree of constraints and agency and in the development of new structures. Figure 1 shows a timeline of some of the sales and some of the related structural changes both within and beyond the natural and organic products industry.

To aid in the interpretation of some of the sales-related outcomes, we categorize them into four configurations, which we term *lost battles*, *Trojan horses*, *open gates*, and *wars won* (see Figure 2). *Lost battles* refer to cases wherein aspects of a firm's sustainability mission were perceived as lost or diminished as a result of the acquisition. *Trojan horses* are activities, methods, or processes that a sustainable firm used to infiltrate the acquiring firm with its own mission or practices, thereby assuring the continuation or expansion of the mission or practices. Like the ancient Greeks, who are said to have used a wooden horse to gain entry into the city of Troy, sustainable entrepreneurs have used creative tactics to secure their missions subsequent to

FIGURE 1
Timeline of Acquisitions and Major Structural Developments



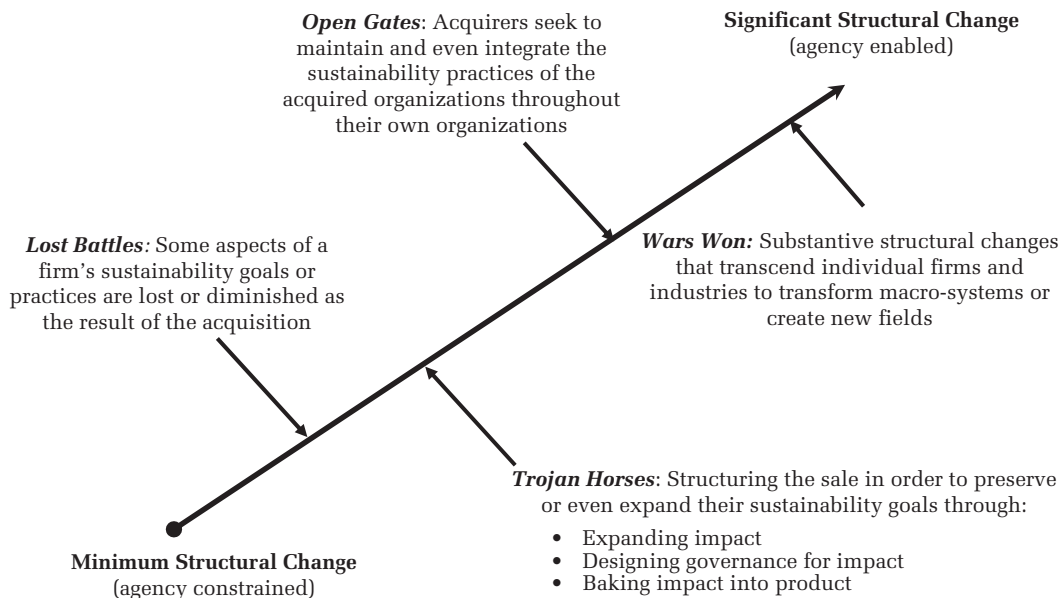
acquisition (Homer, circa 725 BC, as referenced in Steiner, 2010). And, as with the Greeks, the intent behind many of these tactics was perhaps unrecognized by the acquirers. Over time, however, as some acquirers became increasingly cognizant that sustainable missions and practices could further their own goals, they began embracing those missions and practices. *Open gates* represent circumstances wherein the acquiring organization acknowledged the fundamental importance of the target's social and environmental attributes and took actions to ensure their survival or even expansion. Finally, *wars won* are fundamental shifts in institutional structures that drive the behaviors of firms. These include changes to the market institutions, perspectives, and practices adopted by firms both within and beyond the natural and organics sector.

It is important to note that not every sale fits neatly into one of the categories presented above. Although some clearly do, many of the cases encompassed the dynamics of more than one category. Therefore, we often found it more accurate to consider which attributes of a sale fell into each category. Next, we examine the nature of each of these dynamics in more detail, using prominent examples, quotes, and other material to illustrate our points.

Lost Battles

As noted above, lost battles are the cases where the acquired firms were most constrained in achieving their goals subsequent to acquisition. Austin and Leonard alluded to such cases when

FIGURE 2
Agency/Structure Duality: Lost Battles, Trojan Horses, Open Gates, Wars Won



they noted that “many ordinary mice have been squashed by the elephants, so there is reason to be skeptical about the survival prospects of the virtuous mice with their distinctively social characteristics” (2008, p. 101). Foremost among the lost battles is the Body Shop, which built its reputation around its social mission and its refusal to test its products on animals. Hoping to focus on other goals she thought would have greater societal impact (Cahalane, 2006), the company’s founder, Anita Roddick, sold the Body Shop to L’Oréal in 2006 for \$1.4 billion. But she, and the sale itself, drew strong criticism. Today, some observers find little evidence of the company’s original mission. In a recent article, one journalist described a Body Shop outlet as “a confused shop with a mish-mash of products with no emphasis on the fact that this is supposed to be a shop specializing in cruelty-free, fair trade toiletries and make-up” (Hope, 2017).

Ben & Jerry’s is a different kind of lost battle—in this case, the founders were unable to achieve many of their personal goals due to legal issues. A Vermont-based premium ice cream company founded by Ben Cohen and Jerry Greenfield, Ben & Jerry’s became publicly owned through a stock offering to the citizens of Vermont in 1985. In 2000 the stock price slumped, and a bidding war for the company ensued. While board members and other stakeholders were putting together a \$265 million offer to

buy the company and take it private, their plan was derailed by a \$326 million cash bid by Unilever (Edmondson, 2014). Company stakeholders could not beat the Unilever bid, and the board felt legally obliged to accept it (Branch & Beck, 2000). Greenfield reflected later:

We did not want to sell the business; it was a very difficult time. But we were a public company, and the Board of Directors’ primary responsibility is in the interest of the shareholders. So, that is what the decision came down to. It was extremely difficult, heart-wrenching. It was a horrible experience for me and I can probably say it was horrible for Ben too. (Pool, 2008)

Cohen and Greenfield were replaced as the organization’s leaders after the sale. Terry Mollner, a member of the board of Ben & Jerry’s, captured the fundamental difference between the founders of mission-driven companies and the executives of multinational corporations. Mollner noted that, at the time of the Ben & Jerry’s sale, he had commented to the Unilever CEO that corporations are inappropriately sanctioned by the state to give priority to shareholders’ financial interests over the common good. According to Mollner, the CEO responded, “Terry, I am here for another five years or so and then I am gone. My job during that time is to increase the value to shareholders. What you are

talking about is not my business.” Mollner later recalled:

This was a profound experience for me. . . . [I]t was also obvious that there is no way he or any person could graduate up the ranks of a multinational corporation if not totally dedicated, with religious passion, to giving priority to maximizing the financial interests of the shareholders. That meant that it was at the expense of the customers, workers, communities, suppliers, and the environment. That is, it was at the expense of the common good. (Mollner, 2015, p. 210)

Another example of a lost battle is Sprig Toys. Founded in 2007 by toy designers who were disenchanted with the toy industry, Sprig Toys created a line of battery-free, eco-friendly, paint-free, kid-powered toys. They grew rapidly and garnered industry recognition. But after numerous business missteps and a sharp economic downturn, the founders were forced to sell to Wham-O. The sale was a no-cash offer, as the involved parties sought to keep the company a going concern (Sarason, DeTienne, & Bentley, 2013). Inside Wham-O, the brand and products floundered, and Wham-O went through bankruptcy in 2015.

In each of these (and other) lost battles, at least one of the following is true: 1) Financial conditions or other challenges forced sales in which little attention was paid to the nonfinancial missions of the companies (e.g., Sprig Toys), 2) the integration of the firm into the larger acquirer had the effect of diminishing the focus on sustainability (e.g., the Body Shop), or 3) legal requirements, as understood by board members, forced a decision to sell that was based on financial concerns, with less regard for nonfinancial ones than many would have preferred (e.g., Ben & Jerry's). In addition, lost battles may occur more often when the acquiring entity's acquisition strategy is to annex and assimilate rather than simply to absorb another company's assets (Brueller, Carmeli, & Markman, 2018). They may also be associated with greenwashing, in which the acquiring organization hopes to profit from the acquired firm's reputation for sustainability but does not work to preserve these core values or practices.

Of course, the stories of these acquisitions are more nuanced than is indicated above. While the battles may have been (or may have felt) lost from the founders' perspective, the longer-term impacts on sustainability were more complex. Indeed, all three organizations eventually achieved important sustainability goals: L'Oréal ceased all animal testing for its products; Ben & Jerry's continued to be seen as a

leader in sustainability; and Sprig Toys, after being purchased back by its original founders after the Wham-O bankruptcy, resumed its original mission (Dobrow, 2014; Ferrier, 2017; Lee & Jay, 2015; Zhu, 2016). These examples demonstrate that even when an acquisition appears to betray the founders' original mission and values, the acquired company may continue to pursue sustainable goals and practices subsequent to the sale. Some of these post-acquisition sustainability successes appear to have been driven by contractual, governance, and other structures the acquired companies put in place at the time of sale. We address these Trojan horses next.

Trojan Horses

While some natural and organic products companies were forced to sell due to financial distress or legal requirements, others freely decided to sell. The companies that were sold under better financial conditions typically had more leverage in negotiations and thus were better able to set the terms of the sale. They appear to have used this leverage to create conditions that would increase the probability that the sale would result in greater social and environmental benefits.

Many firms in our study put great effort into structuring their companies and sales contracts so as to help preserve or even expand their sustainability goals. We refer to such efforts as *Trojan horses*, because they often result in the organization expanding its sustainability impact after the sale. This expansion can happen through increased sales or even the infusion of the firm's philosophies and practices into the acquiring organization. As Gary Hirshberg, the chairman of Stonyfield Farm, said during a speech at Danone, “I was enchanted to be a Trojan horse inside a bigger entity” (Austin & Leonard, 2008, p. 97). At a later conference, he added, “We're headed to a world in which green is the only way to make money, so we've got the wind at our sails. Let's not hold out for absolutism. Let's integrate and infuse these companies and this is how we'll actually leave something for our kids” (Hirshberg, 2008b).

Trojan horses can take several forms, including *expanding for impact*, *governance for impact*, and *baking it in*. Trojan horse strategies start with a fundamental change in perspective, in which an acquisition is seen as helping a sustainable organization achieve its goals through expansion, not as betraying those goals.

Trojan horse #1: Expanding for impact. After the first few sales, the entrepreneurs behind the natural

and organic products companies we investigated in depth appear to have become more open to the idea of acquisition. They had reasons for this. Their firms often suffered from a shortage of capital for investment and growth. They faced challenges with scaling production, access to shelf space, efficient distribution, raw material sourcing, and access to global markets. Because large corporations have substantial resources in almost all of these areas, they could help the smaller firms overcome these challenges, allowing them to grow faster. Steve Demos, founder of WhiteWave, reflected on this dynamic when he looked back at the sale of his company: “The world for soy was opening up very quickly, and somebody was going to be a household brand in the United States for soy. We, at WhiteWave, didn’t have the capital resources, nor the capabilities of building the factories fast enough to keep up with the demand as it was coming to market” (Demos, 2008).

The resources of large corporations could also help the sustainable firms achieve their sustainability goals. To the degree that sustainable practices are maintained subsequent to sales, the expansion of sales can amplify their impact, as these sales may displace traditional and less sustainable products. As Frederick Schilling explained after deciding to sell Dagoba Chocolate to Hershey:

I just woke up one day and I realized that in order for Dagoba to maximize its impact, that it had to move on, it had to go into this next stage of existence that I could not provide for it. For me, the more I was able to grow Dagoba, the more sales, the more impact I could have back in origin [countries], because the more cocoa I had to buy, the more farmers I could influence and work with, and try to convert more cocoa to organic, and whatnot. I would be a hypocrite if I did not allow Dagoba to move on into a larger architecture. (quoted in Spangler, 2009)

Steve Demos, founder of WhiteWave soy foods, struck a similar note when he observed that “small business might be beautiful, but it is rarely impactful on a large society level” (Wallace, 2016). And so did John Repogle, CEO of Seventh Generation, when he announced the sale of his company to Unilever: “We just think this is a perfect next stage for the expansion and reach of our mission. . . . This allows us to think much bigger and broader, to go from millions to reaching billions of consumers around the globe. This gives us a megaphone” (Kowitt, 2016).

Furthermore, there is concrete evidence that many of these companies expanded significantly after acquisition. After modest beginnings selling candles,

Burt’s Bees now manufactures products for facial and body skin care, hair care, baby care, men’s grooming, and outdoor remedies, and distributes these goods in nearly 30,000 retail outlets, including grocery store and drug store chains across North America, Europe, Asia, and Australia. Similarly, in the five years following Coca-Cola’s initial equity investment in Honest Tea, the tonnage of organic inputs to the company’s product increased sevenfold, from 800,000 to 6 million pounds (Lee & Jay, 2015).

The founders’ change in perspective toward acquisition also influenced the way sales were negotiated, as natural and organic products companies began focusing on how to preserve and expand their missions. Perhaps the most transformative method to achieve this outcome was through the governance structures created at the time of sale.

Trojan horse #2: Governance for impact. To ensure that their social and environmental goals would be preserved or expanded, sustainable entrepreneurs in the natural and organic products industry we investigated structured a number of innovative contractual and governance mechanisms prior to the sale of their companies. Foremost among these were specific agreements on boards of directors, physical or organizational autonomy, and continuity of leadership, as well as other contractual terms designed to ensure the continuance of the mission and the practices of the firm. Such structures can help maintain unique cultures and sustainability practices after acquisition (Austin & Leonard, 2008; Lee & Jay, 2015).

The sale of Ben & Jerry’s, for example, was contingent upon the creation of an independent board of directors, which was to exist in perpetuity. The sales agreement gave the board authority for “preserving and enhancing the objectives of the historical social mission of the company as they may evolve” and for “safeguarding the integrity of the essential elements of the brand” (sales agreement as cited by Edmondson, 2014, p. 171). The effect of this agreement became evident in 2007 when the board threatened a lawsuit against Unilever, arguing that Unilever’s profit target for Ben & Jerry’s was too high to enable the achievement of the company’s “linked prosperity” mission (Edmondson, 2014). During the resultant discussions, the two sides drew up a “Ways of Working” document, which served as a platform for ensuring that the company’s social performance would increase faster than its sales. The initial agreement and the conversations subsequent to the threatened lawsuit helped transform the working relationship between Unilever and the board. As the CEO of Ben & Jerry’s stated at the time, “This was

when the old acrimony and distrust between the board and Unilever finally dissolved. It happened very quickly. It was the first time senior Unilever people and the board united in the desire for a business with a healthy three-part mission. There was no more us and them. There was only us" (Edmondson, 2014, p. 229).

Furthermore, some of the events involving Ben & Jerry's appear to have influenced Unilever as a whole. Subsequent to buying Ben & Jerry's, Unilever committed to sourcing exclusively from cage-free egg producers (Unilever, n.d.). And Lipton Tea, a Unilever subsidiary with more than \$2.5 billion in sales, committed to sourcing tea from sustainable and ethical vendors and to certifying all of its tea bags through the Rainforest Alliance (Lipton, n.d.). Yves Couete, the CEO of Lipton who helped establish this commitment, is said to have learned to "integrate the three bottom lines into his thinking" during his 2001–2004 tenure as CEO of Ben & Jerry's (Edmondson, 2014, p. 199).

Governance approaches similar to Ben & Jerry's Trojan horse were adopted in later acquisitions of natural and organic products companies. For example, Honest Tea received legal assurances that it would remain a separate entity within Coca-Cola; Burt's Bees negotiated similar assurances from Clorox (Park, 2008b; Westaway, 2013). Seventh Generation and Justin's Nut Butter maintained a degree of independence by staying in their original locations, giving them physical autonomy from the acquiring companies (Kowitt, 2016; Wallace, 2016).

Others attempted to maintain control and autonomy through agreements on the continuity of leadership after the sale. Gary Hirshberg, for example, obtained an agreement to continue as CEO in perpetuity after the 2001 sale of Stonyfield Farm to Danone (Hirshberg, 2008a). He also negotiated a two-inch-thick document that spelled out terms through which sustainable practices would continue subsequent to the sale (Hirshberg, 2008a). In each of the acquisitions of conscious capitalism companies examined by Cohen and Muñoz (2017), all of the original founding CEOs stayed on, arguably to ensure that the firm's social and environmental impact would be maintained and/or expanded. Austin and Leonard (2008, p. 97) reported similar dynamics, noting that the founding entrepreneurs brought specialized knowledge and drove a process of "reverse osmosis," in which the acquirer learned from and was influenced by the entrepreneur.

Finally, the owners of some natural and organic companies sold financial interest in their companies over time, an approach that allowed them to test the

waters and work out specifics that would safeguard their goals. Gary Hirshberg sold Stonyfield in two steps to ensure that its sustainability mission would be maintained. Initially, 40% of the company was sold to Groupe Danone. Stonyfield documented the practices it wanted to protect and monitored the accomplishment of those dimensions over two years. Once Stonyfield was satisfied with the results on these benchmarks, an additional 40% was sold to Danone (Hirshberg, 2008a). The sale contract stipulated that the owners could buy back the company if Danone failed to deliver on its promises or if the company was sold to another entity. The owners of Honest Tea followed a similar model when they sold 40% percent of their company to Coca-Cola in 2008, followed by the balance in 2011.

Trojan horse #3: Baking it in. Another manner in which companies in the natural and organic industry tried to preserve their missions was by infusing their products with mission-oriented values and attributes that would be difficult to alter without damaging market presence or organizational performance. We refer to this Trojan horse as "baking it in." Product certification and labeling systems, such as for organic, fair-trade, and GMO-free goods, often played a critical role in this. Typically certified by third parties, such labels help differentiate products for buyers who are interested in the dimensions of the certification. The associated labels can become important product attributes, such that buyers alter their purchasing behavior if the certifications are dropped. The acquirers likely recognize the market importance of these attributes, which decreases the probability of the attributes being eliminated after acquisition.

For example, product attributes played a key role in preserving the values of WhiteWave after its acquisition by Dean Foods, according to Steve Demos:

We so deeply infused the product with the values that aligned with what the consumer was buying, it would be a fool to tease apart the values of the product. The association of the brand and its actual deep value—if they tease those apart and they degraded the product, they degraded their own investment. So we didn't try to bake them into the contract, we tried to bake them into the product so that the product could stand alone, and at this point the product still remains probably the top selling organic single brand in the United States, possibly the world. (Demos, 2008)

For Demos, baking values into the product was a more effective Trojan horse than contractual arrangements for the acquisition. "Our philosophy was

not to contractually obligate a corporation, because frankly contracts have life spans. . . . [W]hen that life span is exhausted then the corporation has the rights to do whatever they please to. Our belief was . . . bake the values into the business” (Demos, 2008).

Gary Hirshberg shared similar views:

In Stonyfield’s case we knew for many, many years before I did this deal that other companies would be trying to acquire us. And so, we have been religious almost from the moment of my first becoming profitable in the early ’90s that we needed to genetically encode our values into what we do. That’s why our packaging has my signature on it, that’s why our packaging talks about synthetic growth hormones and organics, and the fact that we give 10% of our profits to environmental causes. By encoding this stuff, by making it a part of the brand and the brand identity, it becomes impossible at least in our view, we hoped it would become impossible to peel those away. (Hirshberg, 2008b)

Together, the Trojan horses discussed above appear to have helped preserve or enhance the sustainability goals of acquired organizations subsequent to sale. Through expansion, governance, and baking it in, sustainable firms have expanded their sales and increased their market presence while preserving key aspects of their missions. Arguably, this has led to a greater impact in terms of sustainability. Without more quantitative evidence, it is difficult to reach broad conclusions on the net effects of each individual sale or Trojan horse, but the Ben & Jerry’s case, at least, speaks clearly to the substantive effect of governance agreements on post-acquisition outcomes. Furthermore, Trojan horses may be particularly effective when the acquiring entity is following a strategy of “harvesting and protecting,” wherein it seeks to capture and preserve intangible assets of the acquired company (Bruegger et al., 2018).

Open Gates

The dynamic of Trojan horses in these acquisitions does not entirely capture the nature of the events that transpired because many of the acquiring organizations willingly embraced the goals and practices of their targets. We refer to the acquirers’ desire to maintain the sustainability practices of the acquired organizations and even integrate these practices throughout their own organizations as open gates. Open gates reflect the fact that, in acquiring natural and organic firms, acquirers were seeking not just to expand their

market share or profitability, but also to gain customers who were excited about social and environmental values and to capture organizational competencies for achieving their own social and environmental goals.

Austin and Leonard noted this dynamic when they argued that “the social icons represent potential learning laboratories to help larger companies identify strategic and operating practices that synergistically blend commercial and social value creation” (2008, p. 82). This dynamic, or something similar, exists in the wind energy field, where social movement organizations, electric utilities, and new firm founding have together driven industry and institutional evolution (Pacheco, York, & Hargrave, 2014; York, Hargrave, & Pacheco, 2016). It is also represented in a number of cases studied by Lee and Jay (2015). Notably, Lee and Jay documented how both Unilever and Danone “sought to deeply engage with a hybrid social venture, accelerating a company-wide sustainability strategy” (2015, p. 132).

In Danone’s case, the company was already well on its way to establishing a viable sustainability strategy—it had begun measuring social and environmental performance and issuing annual reports on these metrics—by the time it purchased Stonyfield in 2001 (Lee & Jay, 2015). The acquisition of Stonyfield was just the next step in the process. As Danone’s chairman, Frank Riboud, stated, “Stonyfield represents an ethic that we at Danone have to adopt if we are going to be successful in the 21st century. . . . I’m not crazy about Stonyfield because it’s an organic niche. I’m crazy about Stonyfield because it’s a new planet, it’s a new community, and I have to understand this community” (as quoted in Lee & Jay, 2015, p. 132). Moreover, the acquisition resulted in numerous efforts to infuse the practices of Stonyfield into the operations of Danone (Lee & Jay, 2015). For example, Danone created a new organic brand of yogurt in France and asked Stonyfield’s founder, Hirshberg, to oversee it. Danone also incorporated a compostable alternative to petroleum-based materials (polylactic acid) in its packaging, a measure that Stonyfield had previously adopted.

A similar example of open gates involves Clorox. As the 20th century ended, Clorox’s leadership went through a process of strategic self-examination, trying to decide what they wanted the organization to be when it turned 100 in 2013. They emerged with what they called their “centennial strategy.” While the strategy focused on strong growth of existing brands, it also identified new categories where the organization could capitalize on “major global trends toward health and wellness, convenience, environmental

sustainability and a more multicultural marketplace” (Clorox Company, 2007). Clorox began repositioning its portfolio by expanding the Brita water filtration brand and by introducing a new line of natural cleaning products known as Green Works (which achieved rapid success in terms of both revenue and market share in the natural cleaning products segment), among other measures (Cohen & Muñoz, 2017).

With its centennial strategy in place, Clorox began conversations with Burt’s Bees CEO John Repogle about a possible acquisition, which Clorox saw as a complement to its strategic efforts (Marquis, 2010). Burt’s Bees’ leadership initially hesitated, but gradually came to see Clorox as a possible partner due to Clorox’s new strategy and focus. Burt’s Bees chief marketing and strategic officer Mike Indursky said:

Well, the first time I heard Clorox was interested in purchasing us—and I was on the team helping present the company to some of the strategics—I was shocked. I was absolutely shocked. I could not understand, for the life of me, why Clorox would want to get involved in this. And I went through this initial cynicism, followed by some skepticism. And it was in talking to them we realized why. And they have a real commitment towards health and well-being. (Marquis, 2010)

Repogle, the Burt’s Bees CEO, recalled of that period:

And so they acquired us with the intent of being more than just a brand acquisition but acquiring a business model that could help propel growth, inspire growth, and help them shape the change from within with the centennial strategy. And so, what we actually found in conversations was a really good alignment of a core set of values and how we would fit strategically within their company. (Marquis, 2010)

After the acquisition, some Clorox factories adopted procedures from Burt’s Bees, reducing landfill waste by 50%. Clorox also committed to operating a dozen plants as zero waste to landfill by 2020 and made sustainability improvements to 35% of its product portfolio. Clorox even developed a scorecard for its top 100 suppliers to measure, report, and reduce the environmental impacts of their operations (Westaway, 2013).

These and other examples demonstrate how the acquirers of natural and organic companies began to embrace the smaller firms’ missions. By learning and adopting their practices, the acquirers hoped to promote internal transformations in their own organizations. Thus, the acquired firms began to encounter an entirely different, and sometimes surprising, set of

suitors: companies that not only wanted new market platforms but also sought new missions and practices that transcended traditional business models. Open gates thus reflect the acquisition strategy of linking and promoting, wherein the acquiring firm seeks symbiosis and boundary-spanning opportunities for both firms (Brueller et al., 2018).

Wars Won

The early acquisitions of sustainable firms exposed the challenges involved in starting and building a sustainable firm in the face of structures that prioritized financial returns. Some observers of these acquisitions recognized that economic systems must be adjusted in order for sustainable firms to achieve their long-term goals. Following roughly along the lines of the resolutions called for by Dean and McMullen (2007) and Pacheco, Dean, et al. (2010), they created structures that helped firms in natural and organic foods and other industries overcome market failures and escape the prisoner’s dilemma of market systems with respect to many ecological considerations. In the natural and organic foods sector, these structures included new company certification systems, legal forms of organization, and approaches to investing (such as crowdfunding and impact investing). In other industries, they included the advent of cleantech venture capital, renewable portfolio standards and feed-in tariffs, green building standards, and carbon cap-and-trade systems. We refer to these broad structural transformations as wars won because they cross the boundaries of individual organizations and/or industries (and therefore more closely represent wars than battles) and represent substantive changes to economic systems—changes that help sustainable firms achieve their goals. While the term “wars won” may sound overly optimistic given the challenges that remain for green entrepreneurs, it is an apt metaphor for the substantive changes to embedded macroeconomic, political, and legal structures that occurred.

Next, we present the history of B Corp certification and benefit corporation legislation as central examples of wars won within and around the context of acquisitions in the natural and organic products space.

In 2006, friends Jay Cohen Gilbert, Bart Houlahan, and Andrew Kassoy founded the nonprofit organization B Lab. Gilbert and Houlahan had recently sold their successful athletic apparel company and were disheartened by how its values and practices had

been diminished after the acquisition (Harriman, 2015). They partnered with Kassoy, and the team set out to help create a more socially and environmentally beneficial economy through the idea of “profit with a purpose” (Harriman, 2015). After a year of research, which included conversations with hundreds of social entrepreneurs, they realized that “if you’re going to have a new capitalism you have to have a new type of company that reflects these evolved intentions of these new entrepreneurs and these new investors” (Mollner, 2008). They called this new type of company a B Corporation (or B Corp) and outlined three goals for the new capitalism. The first goal was to build a community of certified B Corps that met standards of social and environmental performance, accountability, and transparency. The second was to create a new type of legal corporation, known as a benefit corporation, that would enable leaders to pursue positive societal impact as well as profit. The third was to develop a platform for measuring and reporting this impact, which could then be used by investors and firms (Harriman, 2015).

Unlike organic, green building, Energy Star, or fair-trade certification, B Corp certification evaluates the entire company and not just an attribute of a product. To be certified, a company must meet standards on the environment, workers, customers, community, and governance. One goal of the certification process is to make these companies more transparent so that they can attract talent and capital (B Corporation, n.d.1).

As of early 2018, almost 2,500 companies in 50 countries and 130 industries had been certified as B Corps. The list included such prominent organizations as Method, Dansko, Seventh Generation, and Patagonia (B Corporation, n.d.2), not to mention Ben & Jerry’s (Ben & Jerry’s, n.d.), which, with support from Unilever, became the first wholly owned subsidiary to gain B Corp certification.

B Lab also succeeded in its goal of creating a new legal form of organization, the benefit corporation. As benefit corporations, purpose-driven companies can embed their stakeholder approach in their articles of incorporation and thereby balance the attainment of social and environmental goals with the generation of shareholder wealth (Harriman, 2015). Since Maryland passed the first benefit corporation legislation in 2010, 33 states have followed suit, typically in bipartisan efforts. Current benefit corporations include Method, Patagonia, Kickstarter, Solberg Manufacturing, and Plum Organics (benefitcorp.net, n.d.).

The history of Dean Foods demonstrates the increasing importance of this new legal form (Dean Foods, n.d.). Dean Foods purchased WhiteWave in 2002 and Horizon Organic in 2004. They then consolidated WhiteWave, Horizon, and other brands as the WhiteWave Foods Division. After being spun off as an IPO in 2013, this division was acquired by Groupe Danone in 2017 for \$12.5 billion. In an unprecedented event, Groupe Danone announced that the resultant entity, DanoneWave, would be organized as a benefit corporation. Lorna Davis, the CEO of DanoneWave, said of the decision, “In 10 years’ time, people will say it’s inconceivable that business was done any other way. The notion that a company can only care about profit will be seen as old-fashioned and irresponsible” (Kowitt, 2017).

Paralleling these developments were a host of structural changes that aided the ability of natural/organic and other mission-driven firms to successfully develop, preserve, and expand their social missions. Certification systems for organic, fair-trade, GMO-free, hormone-free, green building, and other product attributes were developed. In the venture capital world, cleantech investing helped open up technological developments in renewable energy, smart grids, energy efficiency, energy storage, and related fields. The concept of impact investing also arose, driving dollars into investments that sought social and environmental improvement as well as financial returns. New government policies created incentives for renewable energy, exacted a price on carbon through taxation and cap-and-trade systems, and provided direct funding for new, green research and manufacturing facilities. Consumers, for their part, began to take their purchases more seriously, often voting with their wallet by choosing products with environment-friendly attributes (Dobrow, 2014).

Finally, numerous corporations, especially consumer-driven ones, moved to reduce their environmental impact by measuring carbon emissions and purchasing renewable energy, among other steps. Underlying all of these changes was probably the biggest structural change of all: a shift in the mindset of consumers, governments, and corporations toward recognizing the importance of environmental and social issues. All of these developments drove the structural change in the natural and organic products industry and beyond.

DISCUSSION AND CONCLUSION

Sustainable entrepreneurship, arguably by nature, requires systemic change to structures that favor the

pursuit of profit over the pursuit of the common good. For entrepreneurs with social and environmental missions to succeed, competitive market systems must reward—not punish—their sustainable behaviors. Yet little understanding of the nature and dynamics of how this may be possible in sustainable entrepreneurship exists.

This paper explores the structuration process in sustainable entrepreneurship and demonstrates the proactive nature of entrepreneurs, their companies, and associated stakeholders over time. Applying a structuration lens to the sale of natural and organic products companies leads to three overarching conclusions. First, in selling their companies to large public corporations, these entrepreneurs did not inevitably sell out their social and environmental goals. Rather, they used Trojan horses and often walked through open gates to expand their impact and infuse their mission and goals into the acquiring organizations. We found substantive examples of contractual, legal, and other arrangements that maintain social and environmental goals and activities subsequent to sale. Thus, we argue for reinterpreting such sales, placing more emphasis on the dynamics of “selling in” and less on the *fait accompli* of selling out.

Second, these firms helped create broad and substantial structures to help spread their missions and win the larger war against embedded structures that prioritize financial returns and support traditional practices. While individual cases of acquisitions in the natural and organic space demonstrate the dynamics of *lost battles*, *Trojan horses*, and *open gates*, they also miss some of the broader structural transformations that were occurring around and simultaneous to these acquisitions. These *wars won* include changes in the way that entrepreneurs and associated stakeholders view these sales, contractual mechanisms designed to ensure continued sustainability, new legal forms of organization, increased influence on the part of these firms, and a host of other structural developments (as presented in Figure 1).

Third, and perhaps most important, the structural transformations appear to have resulted from multiple agents engaging with the problem and co-creating structures over time. In addition to the sustainable firms and entrepreneurs, these parties include the acquiring organizations that embraced the sustainable firms’ missions and practices; the consumers who were attracted to sustainable products, certifications, and missions; legislators who supported benefit corporation laws, policies for renewable energy, and the Organic Foods Production Act; investors who took action by impact and

cleantech venture investing; and other stakeholders who developed or supported B Corp certification, green building standards, and various product certifications. Overall, the demonstration of agency by these parties created a fundamental shift in the nature of the economy that enabled the development, expansion, and success of numerous sustainable business models. Cumulatively, the actions of these entrepreneurs have transformed not just their companies and their acquirers, but entire industries, organizational fields, and socioeconomic systems. These structural changes represent the essence of structuration, wherein multiple agents act recursively to alter the nature of fundamental systems and organizational fields over time.

Thus, in keeping with our structuration lens, a nuanced understanding of sustainable entrepreneurship recognizes the duality of structure—acknowledging both the constraining nature of structure and the agentic character of sustainable entrepreneurs. Sarason et al. (2006) compared this duality to M. C. Escher’s famous “drawing hands” as a graphic illustration of Giddens’ concept of structuration, with the actor being both the creator and a creation of social systems. In keeping with this perspective, subsequent entrepreneurs can leverage these new structures as they strive for greater impact. Through a structuration lens on sustainable entrepreneurship, we begin to understand how a fringe movement that began in the 1970s has evolved into a mainstream approach to business with boundary-spanning impact.

Of course, we should not be Pollyannaish in interpreting these actions and outcomes. The pressures for legitimacy and accountability in a profit-directed system remain strong and are not easily reduced. Our examination does not discount the ongoing tensions between a sustainable firm’s financial imperatives and its social and environmental goals, or the pressure to provide a financial return to shareholders of public corporations. Mission-driven firms still face these challenges, and they sometimes fail to meet them.

We contribute to entrepreneurship research by adding to the stream of research that views opportunities as being made as well as found (Venkataraman et al., 2012), and by furthering the application of structuration theory to the study of the nexus of entrepreneur and opportunity (Chiasson & Saunders, 2005; Sarason et al., 2006). Our examination calls for further understanding of structuration processes in the entrepreneurial development of macro-changes that lead to field formation. Moreover, we contribute to broader discussions on the role of corporations in resolving social and environmental challenges, a

topic now prominent in global conversations (e.g., Barbier, Burgess, & Dean, 2018).

We contribute to the field of sustainable entrepreneurship by elucidating the mechanisms that allow the resolution of market failures, imperfections, and adverse incentives and by highlighting the multiparty, cumulative evolution of structures over time. While prior research well recognized how individual organizations need to overcome insufficient institutions (Dean & McMullen, 2007; Pacheco, Dean, et al., 2010; Pacheco, York, & Hargrave, 2014; York & Venkataraman, 2010), our study emphasizes the need for additional research on the complex, multiagent actions that serve to co-create new fields and help legitimize new, more sustainable routines and practices. Such an approach may also be applied to the field of social entrepreneurship, which shares similar issues and challenges. We call for further work on the processes and structures surrounding social entrepreneurship, as well as a long-term understanding on how social entrepreneurship has evolved to where it stands today—a burgeoning field of practice in need of more theory-driven research to address the tension between economic incentives and the public good (Dacin, Dacin, & Matear, 2010; Mair & Martí, 2006).

Specifically, we call for more research into the practices that mission-driven firms use across time and organizations to modify structures and achieve their aims, both within and outside of the context of acquisitions. This research needs to address three questions. First, how do multiple parties with similar goals interact over time to create change that enables their goals? Our study focused mostly on the results of these efforts and only partially elucidated the dynamics behind them. Such research will likely require more of a micro-perspective, based on examinations of specific cases of structural change. It should also explore the role of non-market players that affect corporate strategy and structural outcomes, including governments, environmentalists, social entrepreneurs, and other NGOs. Historically, such players have been overlooked in studies of competitive dynamics, but our research points to their importance in changing the nature of firms, industries, and organizational fields (Markman, Waldron, & Panagopoulos, 2016).

Second, what are the relationships between specific adverse incentives and social/environmental problems, and what structural developments could help resolve these problems? A stronger understanding of the effects of adverse incentives could elucidate structural changes that would address them, potentially leading to the resolution of related social and environmental ills. While the nature of market failures with respect to

sustainable opportunities has been addressed in the literature (Cohen & Winn, 2007; Dean & McMullen, 2007), research on specific structural solutions remains underexplored (Pacheco, Dean, et al., 2010).

Third, what are the motives, actions, and processes of acquiring organizations when they consider the acquisition of a socially or environmentally oriented firm? With the increasing success of mission-driven firms, these issues are gaining importance in the study of competitive dynamics and mergers and acquisitions. We emphasize the need for the acquiring organization to understand that the motivations of the target organization may not be purely financial, to recognize the importance of sustainability goals in the negotiation process, and to consider these goals in creating synergies (Brueller et al., 2018; Hitt, Harrison, Ireland, & Best, 1998).

From a practical perspective, sustainable entrepreneurs should look to the various Trojan horse strategies to instill their missions and practices into acquiring organizations. They should first understand the various ways that sales growth might help them achieve their missions, because the resources of the acquiring firm will likely enable them to expand their sales. They should also negotiate for governance mechanisms that will help ensure the survival and expansion of their practices. These include terms for an independent board, maintaining a separate physical location, and agreements on executive continuity. Even if a sale is not pending, they can bake sustainability into their products and companies through the use of certification systems, new legal forms of organization, branding, and unique cultures. All of these features become difficult for an acquiring organization to remove. Perhaps most important, sustainable entrepreneurs should also recognize that they are not alone in seeking sustainability. Numerous players, including social movement organizations, consumers, former entrepreneurs, and the acquirers themselves, have a vested interest in maintaining and expanding the unique nature of these firms.

In short, our examination demonstrates that sustainable entrepreneurs have expanded and infused their missions into acquiring companies while fundamentally altering macro-systems through the development of new cross-boundary institutional structures. The dramatic examples of structuration that we observe in the realm of sustainable entrepreneurship may embolden us to believe that the prognostication of Steve Demos, which opened this paper, is playing out today:

If we can really effectively change capitalism, it will be by demonstrating that I can make more money than you can make by a conventional form of business, and if I can attract you to demonstrating values and virtues by doing that and if I can create enormous wealth out of doing that, then I can change capitalism, I can change Wall Street. (Demos, 2008)

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Yolanda Sarason (yolanda.sarason@colostate.edu) is a professor of strategic management and entrepreneurship at Colorado State University. Her research has focused on

understanding the entrepreneurial process with a structuration theory lens. She was a Fulbright scholar in Vietnam in 2015. Her current research interests include social entrepreneurship in emerging and mature economies.

Thomas J. Dean (tom.dean@colostate.edu) is a professor of entrepreneurship and sustainable enterprise at Colorado State University. A pioneer in the field of sustainable entrepreneurship, he has published more than 60 manuscripts in journals such as *Science*, *Academy of Management Journal*, *Strategic Management Journal*, *Journal of Management*, and *Journal of Business Venturing*.



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